

equation. A low P/E, too, can disappear, if earnings shrink. So can a low price-to-book ratio. When I first started in this business, I took a look at steel companies. A large part of their book value was in their open-hearth furnaces, which now, of course, have an economic value of zero. There are no guarantees for investors, whatever their orientation.

When you come down to it, buying stocks is no different from buying anything else. Price is always a vital determinant in your decision. You can go to the supermarket ready to buy either lobster or chicken. Which shall it be for tonight? A free market will price both so that the market is cleared—sold out—of each at the end of the day. Say the lobster costs \$10 a pound and chicken \$1 a pound. The store will sell, to pick arbitrary numbers, a dozen lobsters and six hundred chickens. But if lobster suddenly goes from \$10 a pound to \$30 a pound, the next day you may sell zero lobsters and 615 chickens. If lobster drops to \$3 a pound, you'd sell every lobster in sight. People are very conscious of prices and of the relationship between prices and value, and they're quick to shift behavior.

Momentum players buy more lobsters as the price goes up.

It's true in the stock market, too, but the adjustment can take longer, simply because investor behavior can be perverse. So-called momentum players will keep going for the lobster. If the lobster shoots up from \$10 a pound to \$18 a pound, they'll buy it on the theory that it's going to be \$23 a pound in a week. And maybe it will. When people expect inflation and rising costs, they can indeed force prices up, but these are temporary aberrations. In 1980, silver spiked to \$40 an ounce. Today it is back to \$5. Price bubbles soon burst.